In a nutshell, India's fundamental socialist economic model post-Independence comprised the following major components.

First, private enterprise and capital were excluded from the principal drivers of economic activity and growth in the industrial age—manufacturing, mining and quarrying, utilities and infrastructure—which were to be primarily reserved for and developed in the public sector.

Second, agriculture was made into a smallholder sector with no leasing and contracting. Intermediary and absentee landlords were eliminated. Direct relationship of tenants/farmers was established with the state, which freed the farmers from the responsibility to pay any taxes; instead, the state started subsidizing the agriculture inputs and prices.

Third, India's economy was closed to foreign investment and technology. The foreign trade policy centred on import substitution, which ended up neutralizing the objective of containing trade deficit with export promotion.

Fourth, the financial sector—banks, insurance, pensions—was gradually nationalized and brought into the public sector.

Fifth, India went in for debt and fiscal deficit monetization funded public-sector investment and government expenditure, accompanied by highly regressive tax policies.

These formed the core construct of India's economic policy framework for four decades after Independence. This was India Economic Policy 1.0.

India Economic Policy 1.0 Did Not Deliver

The fundamental economic policy framework adopted by India translated into sectoral policies in agriculture, industry and services. It also deeply impacted the traditional factors of production: land, labour and capital. The financial sector, external sector, public sector and the government's own fiscal finances were also impacted severely.